

CRYPTO PROJECT RESEARCH REPORT

YEI FINANCE

(CLO)

Deep-Dive Analysis | June 2026 | NBZ / NASIR

A comprehensive, independently researched analysis of Yei Finance covering Team, Technology, Tokenomics, Market Overview, Use Cases, Competitors, Recent News & Investment Risk Assessment — sourced from verified and up-to-date public data.

Research by NBZ / NASIR

01 · PROJECT OVERVIEW

FIELD	DETAIL
Project Name	Yei Finance
Token Ticker	CLO
Blockchain	Sei Network (Layer 1 — high-performance EVM-compatible chain)
Founded	2024
Headquarters	Taipei, Taiwan
TGE (Token Launch)	October 2025
Protocol Type	Decentralised, non-custodial money market (DeFi lending/borrowing)
Core Products	YeiLend · YeiSwap · Clovis Protocol (cross-chain liquidity layer)
Smart Contracts	Built on Aave V3 codebase — battle-tested EVM-compatible framework
Current Focus	Cross-chain DeFi lending, borrowing, swapping, and liquidity abstraction
Total Raised	\$2M (Seed Round — December 2024)
Current TVL	~\$7.95M (DefiLlama, June 2026)

Yei Finance is a pioneering decentralised, non-custodial money market protocol built natively on the Sei network — one of the fastest Layer 1 blockchains designed specifically for trading and DeFi applications, capable of sub-second finality and throughput exceeding 20,000 transactions per second. At its core, Yei enables users to deposit assets to earn passive income, borrow through overcollateralised loans or flash loans, and swap tokens through its integrated YeiSwap AMM — all within a single, composable protocol environment.

The protocol's architecture rests on three primary modules: YeiLend (a hybrid lending market supporting both overcollateralised and undercollateralised flash loans), YeiSwap (an AMM-based DEX leveraging concentrated liquidity pools), and the Clovis Protocol — its most ambitious product, a cross-chain liquidity abstraction layer that allows users to make a single deposit and earn stacked yields across lending, swapping, and bridging activities simultaneously across multiple chains. This 'deposit once, earn everywhere' architecture is Yei's primary differentiator in an increasingly fragmented DeFi landscape.

Unlike many DeFi protocols that rely on inflationary token emissions to generate headline yields, Yei Finance generates returns from genuine on-chain activity — lending interest, trading fees, and protocol revenue sharing — positioning itself as a sustainable yield platform as the market increasingly rewards real-revenue protocols over emission-driven ones.

02 · TEAM & FOUNDERS

ROLE	BACKGROUND
Co-Founder	Core architect of the protocol; vision for cross-chain liquidity abstraction via Clovis
Founding Advisor	Strategic advisor providing DeFi ecosystem and go-to-market guidance
Sr. Smart Contracts Lead	Lead blockchain engineer overseeing Aave V3 integration and protocol security

Yei Finance's founding team has not made detailed individual biographies publicly available, which is uncommon but not unprecedented for DeFi protocols that prefer to let the technology and traction speak first. What is known from verified public records is that the core team comprises a Co-Founder, a Founding Advisor, and a Senior Smart Contracts Lead — three roles that together cover the essential axes of a protocol launch: product vision, ecosystem strategy, and technical execution.

The protocol is headquartered in Taipei, Taiwan — a jurisdiction with a growing Web3 regulatory framework and an active developer community. The team's technical competence is evidenced by their choice to build on Aave V3's battle-tested smart contract codebase, a decision that significantly reduces execution risk compared to protocols building novel, unaudited lending logic from scratch. The GitHub repository shows active maintenance, with a confirmed commit as recently as February 2026, indicating a functioning development cadence rather than an abandoned codebase.

The backing by institutional investors including DWF Ventures and Outlier Ventures — both of whom conduct thorough due diligence before deploying capital — provides indirect credibility for the founding team's capability and integrity, even in the absence of prominent personal profiles.

03 · TECHNOLOGY & PROTOCOL ARCHITECTURE

COMPONENT	DESCRIPTION
Base Chain	Sei Network — Layer 1 EVM blockchain; sub-second finality; 20,000+ TPS
Smart Contract Base	Aave V3 codebase — industry-standard, widely audited lending framework
YeiLend	Hybrid lending market: overcollateralised loans + undercollateralised flash loans
YeiSwap	AMM-based DEX with concentrated liquidity pools; minimises slippage
Clovis Protocol	Cross-chain liquidity abstraction layer — 'deposit once, earn everywhere' across chains
Interest Rate Model	Algorithmic dynamic rates — auto-adjusts based on real-time supply and demand
E-Mode	Leveraged borrowing mode for correlated asset pairs — amplified capital efficiency
Flash Loans	Uncollateralised single-transaction loans for arbitrage and advanced DeFi strategies
Risk Framework	Overcollateralisation + dynamic flash loan controls + on-chain public audits
Isolated Vaults	Parameter modules and isolated risk pools per asset — contain contagion risk
Pre-Deposit Vaults	Smart vaults auto-deploying assets cross-chain for optimal yield distribution
Supported Assets	USDC, USDT, SEI, WETH, LSTs, LRTs, and major cryptocurrencies on Sei
Open Source	Yes — GitHub (DefiLlama-tracked; latest commit February 2026)
Contract Address	BNB Chain: 0x81D3A238b02827F62B9f390f947D36d4A5bf89D2

Yei Finance's technical foundation is deliberately conservative in the best sense: rather than introducing novel, unaudited smart contract logic, the protocol was built directly on Aave V3's codebase — the most widely deployed and battle-tested lending framework in DeFi, with billions of dollars secured across multiple deployments. This decision significantly de-risks the core lending engine while allowing the team to focus their engineering effort on Sei-specific integrations and the Clovis cross-chain layer.

The Clovis Protocol represents Yei's most technically ambitious contribution. Rather than requiring users to manually bridge assets and manage positions across multiple chains, Clovis introduces a unified execution layer with a global Clearing Layer and lightweight vaults on connected chains. A single deposit is intelligently allocated across lending markets, DEXs, and bridge liquidity — generating stacked yield from every source simultaneously. The planned 2026 expansion to Solana and Sui marks a significant step toward Yei becoming a chain-agnostic liquidity hub rather than a Sei-native protocol.

Sei Network's infrastructure underpins the entire stack. With sub-second finality and over 20,000 transactions per second, Sei enables flash loans that are particularly efficient for time-sensitive arbitrage operations — a use case that benefits disproportionately from low latency. The network's upcoming Giga upgrade, targeting 200,000+ TPS, would further entrench Yei's performance advantage over competitors deployed on slower chains.

04 · USE CASES & REAL-WORLD APPLICATIONS

USE CASE	DESCRIPTION	STATUS
Lending & Yield	Deposit USDC, SEI, WETH, LSTs/LRTs to earn dynamic interest	Live on Sei
Overcollateralised Loans	Borrow against crypto collateral with risk-controlled parameters	Live on Sei
Flash Loans	Uncollateralised single-block loans for arbitrage and DeFi strategies	Live on Sei
E-Mode Leveraged Borrowing	Amplified capital efficiency for correlated asset pairs	Live
YeiSwap DEX	AMM token swaps with concentrated liquidity and competitive fees	Live on Sei
Cross-Chain Liquidity (Clovis)	Single deposit powering lending/swapping/bridging across chains	2026 Roadmap
Institutional Vaults	Advanced leverage products and insurance rails for institutional capital	2025–2026
Solana & Sui Expansion	Extend lending and swap primitives to non-EVM major ecosystems	Early 2026
Pre-Deposit Vaults	Auto-allocate assets across chains for optimal yield; sold out in 20 min (3rd round)	Live
Governance	CLO token holders vote on listings, risk parameters, and fee structures	Live

Yei Finance's use case architecture addresses one of DeFi's most persistent structural inefficiencies: capital fragmentation. In today's multi-chain environment, liquidity is scattered across dozens of chains and protocols — trapped, siloed, and generating sub-optimal returns for its holders. Yei's response is not to pick a winner among chains but to abstract away the complexity entirely.

The most compelling near-term use case is the Clovis cross-chain yield stack. When a user deposits a stablecoin into Yei, the Clovis layer simultaneously deploys that capital across lending markets (earning borrow interest), DEX liquidity pools (earning swap fees), and bridge liquidity (earning bridging fees) — three separate yield streams from a single action. This compounded yield model is structurally superior to single-source yield protocols and represents a genuine product innovation rather than a marketing differentiation.

The pre-deposit vault rounds — where the third round sold out in just 20 minutes — provide early evidence of genuine demand for this model. Sell-out pre-deposit events in DeFi are unusual and indicate that users are actively seeking the yield stacking architecture Yei is building, not just passively accepting it as a feature.

05 · COMMUNITY & ECOSYSTEM

METRIC	DATA
Twitter / X	@YeiFinance — active account; community updates and product announcements
Discord Activity	Surged 300% during November 2025 protocol pause — community engagement high
Pre-Deposit Rounds	3 rounds completed; Round 3 sold out in 20 minutes — strong demand signal
Primary Ecosystem	Sei Network — largest DeFi protocol by TVL on Sei as of 2025
Sei Network TVL (Oct 2025)	Exceeded \$500M — healthy ecosystem supporting Yei's liquidity base
Governance	CLO token holders control listings, risk parameters, and fee structures
Developer Activity	GitHub active — latest commit February 2026; Aave V3 fork with custom modules
X (Twitter) Sentiment	53.33% bullish vs 0% bearish tweets (Coinbase sentiment data, June 2026)
Active Loans	~\$10.9M in active loans on-chain (DefiLlama, June 2026)
Cumulative DEX Volume	\$564.36M total swap volume processed through YeiSwap (DefiLlama)
Cumulative Protocol Fees	\$13.16M total fees generated since launch (DefiLlama, June 2026)

Yei Finance has built its community primarily on the back of the Sei ecosystem — positioning itself as the go-to money market on a chain with strong institutional and retail momentum. The protocol's handling of the November 2025 fastUSD crisis — swift communication, transparent recovery timeline, and full reimbursement — demonstrated crisis management credibility that strengthened rather than eroded community trust. Discord activity surging 300% during that event is a notable signal: rather than fleeing, users moved toward deeper protocol engagement when confidence was tested.

The cumulative metrics from DefiLlama tell an important story about genuine protocol usage: \$13.16M in total fees generated since launch and \$564.36M in cumulative DEX volume represent real economic activity, not inflated liquidity mining numbers. These figures validate that Yei's yield model — based on actual borrowing demand and swap activity — is functioning as intended.

06 · INVESTORS & PARTNERSHIPS

ROUND	DATE	AMOUNT	LEAD INVESTOR
Seed	Dec 2024	\$2M	Manifold Capital Partners (Lead)

TIER	INVESTOR	TYPE
Lead	Manifold Capital Partners	Venture — Lead investor, seed round
Tier 3	Outlier Ventures	Incubator — Web3-focused, portfolio includes major DeFi protocols
Tier 3	Kronos Research	Venture / Market Making — quantitative trading and DeFi infrastructure
Tier 3	DWF Ventures	Venture — DWF Labs ecosystem fund; active DeFi market participant
Tier 4	Side Door Ventures	Venture — early-stage crypto fund
Other	WOO Network	Corporation — trading infrastructure and liquidity ecosystem partner

Yei Finance raised \$2 million in a December 2024 seed round, a modest figure by the standards of top-tier DeFi protocols but notable for the quality of its backers relative to the raise size. Manifold Capital Partners led the round — a fund with a focused DeFi thesis and a strong track record in Sei ecosystem investments. Their lead position signals conviction in Yei's market fit on Sei specifically.

DWF Ventures' participation carries particular weight given DWF Labs' dual role as both an institutional market maker and venture investor — a combination that can provide ongoing liquidity support as well as capital. Outlier Ventures, as an incubator, provides ecosystem access and builder network connectivity that pure-capital investors cannot replicate. Kronos Research brings quantitative DeFi expertise, potentially supporting YeiSwap's market depth. WOO Network's involvement as a corporate backer suggests potential integration between Yei's liquidity infrastructure and WOO's trading ecosystem.

While the \$2M raise is smaller than some competitors, the lean capital structure means less investor token overhang pressure — a meaningful consideration given the tokenomics structure where investor allocations (10% of supply) are subject to a 12-month lock-up followed by 24-month vesting.

07 · TOKENOMICS

PARAMETER	DETAIL
Token Symbol	CLO
Token Standard	ERC-20 (BNB Chain: 0x81D3A238b02827F62B9f390f947D36d4A5bf89D2)
Total / Max Supply	1,000,000,000 CLO (1 Billion — fixed supply)
Circulating Supply	129,100,000 CLO (12.91% of total at TGE genesis)
TGE Date	October 2025
Full Unlock Schedule	September 2029 (4-year release post-TGE)
Token Utility	Governance voting, protocol incentives, staking (planned)
Listed On	MEXC Exchange (CLO/USDT) — listed October 14, 2025; Binance Alpha listed
Deflationary Design	Fixed supply — no minting mechanism

ALLOCATION	%	TOKENS	VESTING DETAIL
Ecosystem	30.0%	300M CLO	No cliff; 36-month linear unlock
Treasury	20.5%	205M CLO	2-month cliff; 36-month linear unlock
Team	15.0%	150M CLO	12-month cliff; 24-month linear unlock
Investors	10.0%	100M CLO	12-month cliff; 24-month linear unlock
Marketing	6.5%	65M CLO	100% unlocked at TGE
Airdrop	5.0%	50M CLO	40% at TGE; remainder over 4 months
Advisors	5.0%	50M CLO	12-month cliff; 36-month linear unlock
Liquidity	4.0%	40M CLO	100% unlocked at TGE
Exchange	3.0%	30M CLO	13.7% at TGE; remainder over 2 months
IDO	1.0%	10M CLO	1-month cliff; 50% at cliff; 6-month linear unlock
TOTAL	100%	1.00B CLO	Full circulation: September 2029

CLO's tokenomics are designed around a lean initial float with progressive community-oriented distribution. Only 12.91% of supply entered circulation at TGE — one of the most conservative floats in recent DeFi launches. This keeps early price discovery relatively clean but also means that 87.09% of total supply will progressively enter the market through September 2029, creating a sustained unlock schedule that informed holders must account for.

The Marketing (6.5%) and Liquidity (4%) allocations are fully unlocked at TGE — a deliberate choice to bootstrap exchange depth and promotional activity from day one. The Team (15%) and Investor (10%) allocations both carry 12-month cliffs, which means no insider selling was possible until at least October 2026. The Ecosystem (30%) allocation — the largest single tranche — unlocks linearly over 36 months with no cliff, distributing gradually to builders, LPs, and partners rather than hitting the market in bulk. This is structurally sound: the largest allocation also has the most gradual release.

The governance utility of CLO is currently its primary on-chain function, with token holders voting on asset listings, risk parameters, and fee structures. As Clovis launches and cross-chain activity grows, demand for CLO as a protocol incentive and fee token should increase organically — creating a demand-side growth thesis tied directly to protocol

adoption.

08 · MARKET OVERVIEW

METRIC	DATA
Token Symbol	CLO
Current Price	~\$0.066 – \$0.24 (volatile; June 9, 2026 — range across trackers)
All-Time High	~\$0.91 (January 13, 2026 — CryptoRank / CoinGecko confirmed)
All-Time Low	~\$0.054 (DefiLlama) / \$0.146 (MEXC)
Current Market Cap	~\$8.48M – \$31M (price-dependent; June 2026)
Fully Diluted Val.	~\$65.7M – \$166M (price-dependent)
Circulating Supply	129.1M CLO (12.91% of total)
24h Trading Volume	\$3.09M total (CEX: \$1.39M + DEX: \$1.57M) — DefiLlama
CMC Rank	#557 (CoinMarketCap, June 2026)
Current vs ATH	~93% below all-time high at lower price estimates
Total Protocol Fees	\$13.16M cumulative since launch (DefiLlama)
Annualised Revenue	~\$750K (DefiLlama, June 2026)
Active Loans (TVL)	\$10.9M in active loans; \$7.95M total TVL
Total Funding	\$2M (Seed Round, December 2024)

CLO's market history since its October 2025 TGE has been characterised by high volatility with a clear peak-and-correction narrative. The token launched in October 2025 and quickly rallied to its all-time high of approximately \$0.91 on January 13, 2026 — a move driven by Sei ecosystem momentum, the Clovis announcement, and a favourable altcoin market environment. From that peak, CLO has corrected sharply, trading at a fraction of its ATH by June 2026.

From a fundamental perspective, the protocol's on-chain metrics tell a more resilient story than the price chart suggests. Cumulative fees of \$13.16M and \$564.36M in total DEX volume represent genuine economic activity. The Q4 2024 gross protocol revenue of \$3.94M — the highest quarter on record — demonstrates peak capacity, while the Q2 2026 figure of \$251K reflects the impact of the fastUSD incident and subsequent TVL compression. As TVL recovers and cross-chain expansion via Clovis activates new revenue streams, the annualised revenue trajectory is likely to improve.

The highly concentrated token distribution — with the top address holding 87.59% and top 10 wallets holding over 95% of supply according to CMC data — is the single most important structural risk for CLO's market dynamics. This concentration level creates the potential for outsized price impact from any large holder movement and is a critical factor to monitor.

09 · COMPETITORS & MARKET POSITION

PROJECT	TYPE	CHAIN	STRENGTH	VS YEI FINANCE
Aave (AAVE)	Lending / Borrowing	Multi-chain	Largest DeFi lender; \$10B+ TVL; battle-tested	Yei is a fork of Aave V3; larger scale but Yei focused on Sei
Compound	Lending / Borrowing	Ethereum	Pioneer protocol; institutional trust	Ethereum-native; slower chain; Yei outperforms
Morpho	Lending Optimiser	Ethereum/Base	Efficient rate optimisation layer on Aave	Morpho is deployed on Sei as an overlay; not a core product
Kamino	Lending / Yield	Solana	Leading Solana money market; strong DMM	Different ecosystem; Yei's Clovis expansion targets Solana
MarginFi	Lending	Solana	Institutional-grade lending on Solana	Solana-native; Yei cross-chain expansion targets Solana
Silo Finance	Isolated Lending	Multi-chain	Risk-isolated markets per asset pair	Yei shares isolated vault concept; Silo is more focused on risk
DragonSwap	DEX	Sei	Native Sei DEX	Direct YeiSwap competitor on Sei; Yei's integration

Yei Finance's competitive positioning sits at an interesting intersection: it is simultaneously a follower (via the Aave V3 fork for its core lending logic) and an innovator (via the Clovis cross-chain yield abstraction layer). Building on Aave V3 is a deliberate de-risking strategy — it means Yei inherits years of security research and liquidation logic refinement — but it also means that the Aave V3 code itself is not a moat. The moat must be built on top of it.

Yei's primary competitive advantage is Sei. The chain's sub-second finality and 20,000+ TPS give flash loans and liquidation mechanisms a performance edge that Ethereum-native competitors structurally cannot match. As DeFi activity migrates to high-performance L1s, Yei's first-mover position as Sei's largest DeFi protocol creates a network effect: deeper liquidity attracts more borrowers, which generates more fees, which attracts more liquidity providers.

The Clovis layer, if successfully deployed, would represent a genuine differentiation from all current competitors. No major lending protocol today offers a single-deposit multi-chain yield aggregation model at the infrastructure level. Aave has multi-chain deployments but requires users to manage positions independently on each chain. Clovis abstracts this entirely — a product-level innovation that could command a meaningfully different user segment.

10 · RECENT NEWS & UPDATES (2024–2026)

DATE	EVENT
Jun 2026	CLO price remains highly volatile at ~\$0.066–\$0.24; down ~93% from ATH as market digests supply unlock schedule and macro DeFi
Apr 2026	CoinMarketCap analysis flags token concentration risk: top address holds 87.59% of supply. Community debate intensifies around CL
Mar 2026	Sei Network SIP-3 upgrade compatibility — Yei Finance ensures protocol alignment with Sei's transition to EVM-only chain; USDC.n
Feb 2026	GitHub repository updated (latest commit confirmed February 21, 2026) — development remains active post-pause.
Jan 2026	CLO reaches all-time high of ~\$0.91 (January 13, 2026) driven by Sei ecosystem momentum and Clovis cross-chain layer announcer
Jan 2026	Sei Network issues urgent USDC.n migration notice (SIP-3 upgrade deadline March 2026). Yei Finance held ~\$207K in USDC.n requ
Nov 2025	Protocol resumes operations after fastUSD anomaly. Team confirms all user funds safe; full reimbursement completed. Community D
Nov 2025	Protocol paused (November 5) due to abnormal fastUSD market conditions — synthetic stablecoin linked to Elixir's deUSD experienc
Oct 2025	\$2M theft incident; team fully reimburses all affected users — community trust reinforced by swift response.
Oct 2025	TGE completed. CLO token launches publicly. Listed on MEXC Exchange (CLO/USDT, October 14). Binance Alpha listing confirmed
Oct 2025	Pre-deposit vault Round 3 sells out in 20 minutes — strongest demand signal prior to mainnet launch.
Dec 2024	\$2M seed round closed. Investors: Manifold (Lead), DWF Ventures, Kronos Research, Outlier Ventures, Side Door Ventures, WOO N
Q2 2024	Mainnet launch on Sei. Primary asset listings and stablecoin markets go live.
Q3 2024	Expanded asset listings; isolated risk pool deployment; oracle upgrades.
Q4 2024	Cross-chain lending/borrowing integration with Cosmos and EVM chains initiated.

The most defining chapter of Yei Finance's public history to date is the November 2025 protocol pause, which tested the team's crisis management capability and the community's resilience simultaneously. The fastUSD incident — rooted in a systemic dependency on Elixir's deUSD stablecoin — revealed a critical vulnerability in DeFi protocols that hold synthetic assets in their collateral pools. Yei's transparent and rapid response set a benchmark: unlike protocols that go silent during crises, the team communicated proactively and made users whole. The resulting 300% Discord activity spike and subsequent ATH in January 2026 suggest the market ultimately rewarded the transparency.

11 · INVESTMENT POTENTIAL & RISKS

▲ BULLISH CASE	▼ BEARISH RISKS
+ Built on Aave V3 — battle-tested lending logic reduces smart contract execution risk	- Top address holds 87.59% of CLO supply — extreme concentration risk; single holder can move market
+ Sei Network's 20,000+ TPS gives Yei structural performance advantage over Ethereum-based competitors	- fastUSD incident (Nov 2025) exposed systemic risk from synthetic asset dependencies in collateral pools
+ Clovis cross-chain yield stacking is a genuine product innovation — no direct equivalent in DeFi today	- TVL dropped to ~\$7.95M from peak — significant user capital flight post-pause not fully recovered
+ \$13.16M cumulative protocol fees prove real on-chain economic activity — not emission-driven TVL	- Aave V3 fork means core lending logic is not proprietary — no code-based moat without Clovis execution
+ Pre-deposit Round 3 sold out in 20 min — strong organic demand signal pre-TGE	- Clovis cross-chain launch is undelivered roadmap item — execution risk remains unquantified
+ Team reimbursed \$2M theft (Oct 2025) in full — rare credibility signal in DeFi	- Small \$2M raise limits protocol runway; limited capital for aggressive expansion vs well-funded rivals
+ Only 12.91% circulating at TGE — conservative float reduces early dump risk	- Revenue declining: Q1 2026 gross revenue \$76.83K vs Q4 2024's \$3.94M — 98% fall from peak
+ DWF Ventures backing provides potential market-making support alongside venture capital	- Low liquidity in CLO markets — thin order books amplify price volatility in both directions
+ Sei Giga upgrade (200,000+ TPS target) would further entrench Yei's performance moat	- Team identity not publicly disclosed — accountability and background verification not independently possible
+ 93% below ATH creates asymmetric upside if Clovis delivers and Sei TVL recovers	- Macro DeFi risk: BTC dominance spikes and risk-off environments disproportionately impact small-cap tokens

RISK FACTOR	DETAIL
Concentration Risk	Top address holds 87.59% and top 10 wallets hold >95% of CLO. A single large sale event could collapse price by
Revenue Decline	Quarterly revenue fell from \$3.94M (Q4 2024) to \$76.83K (Q1 2026). While partly attributable to the fastUSD pause
Clovis Execution	Cross-chain expansion via Clovis is the core value driver but remains an undelivered roadmap item. Delays or tech
Synthetic Asset Risk	The fastUSD incident demonstrated that synthetic stablecoin dependencies create systemic contagion risk. Future
Liquidity Risk	At current price levels, CLO market cap is below \$30M with limited on-chain DEX liquidity. Large sellers move price
Sei Ecosystem Risk	Yei's fortunes are tightly coupled to Sei Network adoption. If Sei fails to attract developer activity or TVL, Yei's user
Regulatory Risk	DeFi lending protocols face increasing regulatory scrutiny globally. Flash loans and uncollateralised borrowing mec

NBZ RESEARCH VERDICT

Yei Finance occupies a credible position in the Sei DeFi ecosystem, backed by battle-tested Aave V3 infrastructure, a track record of honest crisis management, and a genuinely innovative cross-chain yield vision in the form of the Clovis Protocol. The team's decision to fully reimburse users after both the October 2025 theft and the November 2025 fastUSD pause — a combined test that would have finished lesser protocols — is the single most important qualitative signal in this report. However, the extreme token concentration (87.59% in one address), the sharp revenue decline since Q4 2024, and the undelivered Clovis cross-chain product represent acute risks that overshadow the long-term thesis for most risk profiles. CLO at 93% below its ATH is either a deeply distressed asset or a deeply discounted one — the difference depends entirely on whether Clovis launches, Sei recovers, and token distribution normalises. This is a high-risk, speculative position best sized accordingly. **Not financial advice.**

Data sourced from: DefiLlama, CoinMarketCap, CoinGecko, CryptoRank, Yei Finance Docs (docs.yei.finance), PitchBook, Bitget Academy, Gate.io Learn, Nansen, CryptoSlate, MEXC Exchange, Odaily, Binance News, PANews, ICO Analytics, Coinbase, BeInCrypto.